PART A – GENERAL INFORMATION

1.0 BASIS FOR AWARD

The Government intends to make a fair-opportunity selection and award one Task Order (TO) to the responsible Contractor whose Offer conforms to the Request for Offer (RFO) and is determined to have the Highest Technically Ranked Offer (HTRO) with a fair and reasonable price, in accordance with FAR 16.507-2.

The evaluation approach does not permit tradeoffs between the Technical Factor and the Cost/Price Factor. Technical ranking determines the HTRO. Cost/Price will be evaluated only for the HTRO for realism and reasonableness.

2.0 EVALUATION PROCESS

This TO competition is a streamlined evaluation conducted under FAR 16.507-2 and does not use the formal source selection procedures of FAR Subpart 15.3. Accordingly:

- Competitive range determinations are not required
- Discussions as defined in FAR 15.301-1 will not occur
- Terminology similar to FAR 15.3 does not imply application of FAR 15.3 procedures

The Government will afford all Contractors a fair opportunity to submit an Offer. Initial Offers must represent the Contractor's best terms and pricing.

The Government may conduct oral or written interchanges with one, some, all, or none of the Contractors to:

- Clarify understanding of requirements
- Resolve errors or omissions
- Finalize TO terms

Such interchanges do not constitute discussions under FAR 15.3.

The Government may use information other than that submitted in the Offer to validate Offer content.

Failure to comply with Section L instructions may result in the Offer being found non-compliant and removed from consideration.

3.0 INCORPORATION OF PROPOSED FEATURES

The Government may incorporate beneficial features of a Contractor's proposed technical approach directly into the awarded TO, with or without interchanges.

PART B – EVALUATION FACTORS AND METHODOLOGY

1.0 EVALUATION OVERVIEW

The Government will evaluate Offers using the following steps:

1. Technical Evaluation (Comparative Analysis)
2. Cost/Price Evaluation (HTRO Only)

1.1 TECHNICAL EVALUATION
The Government will perform a comparative analysis of Volume 1 – Technical Offers, directly comparing proposals to determine the HTRO.
The Technical Factor includes:
- Key Personnel
- Sample Task

The Government will rank Technical Offers accordingly.

2.0 COST/PRICE EVALUATION

The Government will evaluate only the HTRO Contractor's Cost/Price for realism and reasonableness in accordance with FAR 15.404.

2.1 COST/PRICE EVALUATION METHODOLOGY

2.1.1 Subcontractor Contract Type Other than Cost Reimbursable. The Government will not perform realism analysis on Subcontractor Offers that are proposed as a contract type other than cost reimbursable (e.g., FFP, FFP LOE, T&M etc.).

2.1.2 Contingent Hires. The Government will utilize the salary information stated within the Letter of Commitment submitted as an enclosure to Attachment C3. Offers with a proposed contingent hire FBLR lower than that stated in the Letter of Commitment will be considered unawardable.

2.1.3 Cost Reimbursable Contract Type. The Government will evaluate the HTRO Contractor's and Subcontractor's Volume 3, Attachment C1- Cost Workbook and Attachment C2 – Cost Reimbursable Narrative for cost realism and reasonableness.

2.1.4 Cost Realism Analysis for Contractor and Subcontractors proposing a cost reimbursable contract type.

The Government will perform a cost realism analysis to determine the most probable cost (MPC) only for the HTRO Contractor's Cost/Price Offer. The MPC is the Contractor's total cost, including fee, and any additional adjustments the Government has determined necessary to make the proposed cost realistic for all periods (base and all option periods). The MPC may differ from the proposed cost. The Government, generally, will not make downward adjustments.

2.1.5 Any discrepancy(ies) between the proposed labor categories and Government specified labor categories stated in Section J, Attachment 01 SOW, Paragraph 3.4.15 will make the Offer ineligible for award, with no further evaluation of the Cost/Price Offer conducted by the Government.

2.1.6 In conducting its cost realism evaluation, the Government will review the prospective Contractor and Subcontractor Offers as follows:

2.1.6.1 Prospective Hires. The Government will utilize the minimum rates stated within the "Minimum Direct Labor Rates" worksheet of Attachment C1. Offers with prospective hire direct labor rates lower than those in the Attachment C1 "Minimum Direct Labor Rates" worksheet will be considered unawardable.

2.1.6.2 Contingent Hires. The Government will utilize the salary information stated within the Letter of Commitment submitted as an enclosure to Attachment C2. Offers with a contingent hire direct labor rate lower than that stated in the Letter of Commitment will be considered unawardable.

2.1.6.3 Current Employees. The Government will verify the direct labor rates proposed against the payroll verification provided within Table 6 – Hourly Direct Labor Rates for Current Employees of Attachment C2. If the rates proposed are not the same as the payroll verification rates the Government will review the justification provided and upwardly adjust as appropriate. If the Contractor did not apply escalation to the payroll verified rates to coincide with the beginning of the Period of Performance and does not provide adequate justification for not applying escalation, the Government will adjust the payroll verified rate to include applicable escalation.

2.1.6.4 Pertinent cost information includes, but not limited to, the most current Defense Contract Audit Agency (DCAA) Direct and/or Indirect Rate Approval Letters; DCAA Forward Pricing Rate Agreement or Recommendation; and/or Defense Contract Management Agency (DCMA) Letters (such as accounting system letters, property management system letters, etc.), as applicable, as well as Contractor-specific historical indirect and escalation rate information, Bureau of Labor Statistics (BLS) Wage Data, and BLS Employment Cost Index (ECI) information, may be used to arrive at the Government determination of the MPC.

Escalation

2.1.6.4.1 Non-SCA Labor Categories. The Government will utilize pertinent cost information. If the Contractor and or Subcontractor proposes escalation rates lower than their historical escalation rate actuals, the Contractor and Subcontractor shall provide a justification for the rate proposed. Contractors and Subcontractors who fail to provide rationale to support proposing a lower escalation rate than the most recent historical escalation rate actuals may result in a determination that the rate is unrealistic and the Government will upwardly adjust the escalation rate to coincide with pertinent cost information. If no historical escalation rate actuals are provided and the escalation rate proposed is lower than the escalation rate provided in Section J Attachment L1 – Instructions to Offerors, Part C, Paragraph 3.3.1.2.1, the Government will upwardly adjust the proposed escalation to the Government's escalation rate stated in Section J Attachment L1- Instructions to Offerors, Part C, Paragraph 3.3.1.2.1.

2.1.6.4.2 SCA Labor Categories. The Government will utilize the minimum escalation rate stated in Section J Attachment L1 – Instructions to Offerors, Part C, Paragraph 3.3.1.2.2. If the proposed escalation to SCA labor categories is less than the Government's minimum escalation rate, the Offer will be unawardable.

2.1.6.5 Indirect rates. The Government will utilize pertinent cost information. Contractors and Subcontractors who fail to provide rationale to support proposing a lower indirect rate than the most recent historical actual indirect rate may result in a determination that the rate(s) are unrealistic, and the Government will upwardly adjust the indirect rate to coincide with pertinent cost information.

2.1.6.6 Service Contract Labor Standards. The Government will evaluate the Contractor's, including Subcontractor's, compliance with minimum monetary wages and fringe benefits for service employees as specified in the Wage Determinations (attached in Section J) and in accordance with FAR 52.222-41 Service Contract Labor Standards.

2.1.6.7 If there is a discrepancy between the Subcontractor's fully burdened rates in the Contractor's C1 and the fully burdened rates in the Subcontractor's C1, the higher of the two fully burdened rates will be utilized for cost realism in establishing the Government's MPC.

2.1.6.8 The higher value of any individual cost element will prevail if there are discrepancies within the Cost/Price Volume. Discrepancies may impact the Government's cost realism analysis of the Contractor's Offer or its eligibility for award.

2.2 Evaluation of Options. FAR clause 52.217-8, Option to Extend Services, is incorporated in the RFO. Total evaluated cost/price will also include the six-month performance period permitted under the clause, to account for a situation where invoking of the clause, in whole or part, becomes necessary.

2.3 Reasonableness Analysis. As part of the reasonableness analysis, the Government will identify all instances where a proposed fully burdened labor cost exceeds the NAVAIR labor tripwire of $420K annually per employee. This also applies to fully burdened subcontractor employee labor cost, inclusive of the prime contractor's pass-through burden. Any fully burdened annual labor cost exceeding the tripwire may ultimately be determined unreasonable absent justification.

2.4 Minimum Labor Cost. The Government will evaluate the Contractor's proposed labor cost to ensure it meets or exceeds the minimum labor cost stated in Section J Attachment L1 – Instructions to Offerors, Part B, Paragraph 2.1.6. If the proposed labor cost falls below the stated minimum cost, the Government will review the justification provided by the Contractor. If the proposed labor cost is less than the Government's stated minimum labor cost without adequate or any justification, the Offer will be determined unawardable.

Contractors and Subcontractors proposing the Minimum Direct Labor Rates for Prospective Hires is not adequate justification.

2.5 RESERVED

2.6 Organizational Conflict of Interest. The Government will evaluate the Contractor's, including Subcontractor's, response to KTXT.209-9511 Organizational Conflict of Interest Representation and LTXT.209-9513 Organizational Conflict of Interest Instructions to assess whether or not an actual or potential OCI exists as defined in FAR Subpart 9.5. If an actual or potential OCI is identified that cannot be feasibly mitigated, avoided, or resolved in accordance with FAR Subpart 9.5, the Contracting Officer will determine whether such interests or contracts present potential organizational conflicts of interest which could preclude award to the Contractor.